Retention Playbook

All figures computed from the cleaned dataset by `scripts/06_playbook_numbers.py` (run 2026-06-10). Segment labels trace to stated variable combinations (`loyalty-definitions-log.md`). Total observed revenue: $233,081 across 3,900 customers, one observed transaction each.

Part 1 — Promotional Sunset Plan

The structure of the discount problem

42.7% of observed revenue ($99,411) carries a discount flag — but it splits into two very different pools:

Pool	Revenue	Dependency
Deal-responsive non-subscribers	$36,766 (15.8%)	Plausibly discount-caused — the real exposure
Subscriber discounts	$62,645 (26.9%)	**Unidentifiable** — every subscriber gets discounts by program design

"Sunset all discounts" would gamble 42.7% of revenue on no evidence. The plan below sequences three moves, each with a control group and a kill-switch, so the answer to "was the discount the glue?" is *measured* before the next phase commits.

Phase 1 (Months 1–2): Taper the habitual deal-takers

- **Segment (named variables):** `promo_profile = deal_responsive` AND `loyalty_segment = spurious` — frequent, deep-history buyers (avg 39.2 prior purchases) with no commitment markers. **n = 155, $9,254 revenue (4.0% of total).**
- **Trigger behavior:** discount-flagged purchase + purchase depth ≥ 26 + stated cadence ≥ monthly.
- **Why this segment first:** purchase habit is the strongest non-commitment reason to stay — the discount is least likely to be the binding constraint precisely where depth is highest. And the downside is capped at 4.0% of revenue.
- **Rollout:** Month 1 halve offer frequency; Month 2 remove offers. **Control: 15 customers (10%) keep current offers throughout.**
- **Tracking metric:** weekly orders and revenue per cohort member vs control.
- **Kill-switch:** cohort revenue per member falls below control by more than the break-even churn threshold (table below) for 3 consecutive weeks → restore offers, stop Phase 2.
- **Trade-off stated:** only 36% of this cohort is satisfied — their loyalty is habit, not affection. If habit is price-anchored, the brand loses its deepest uncommitted spenders. That is exactly what the control group detects within weeks, at 4% revenue exposure.

Phase 2 (Months 3–5, gated on Phase 1 surviving its kill-switch): the casual deal-takers

- **Segment:** `deal_responsive` AND `non_loyal` — infrequent, shallow (avg depth 20.5), uncommitted. **n = 469, $27,512 (11.8% of total).**
- **Why second:** three times the revenue exposure and weaker habit protection — run only with Phase 1 evidence in hand. Same mechanics; 47-customer control.
- **Trade-off stated:** this is where genuine deal-chasers live (42% satisfied, low depth); volume loss is most likely here. Mitigation: per-customer value is lowest in the base ($58.7 baskets, thin history), so lost buyers cost least.

Phase 3 (Months 4–6, parallel): subscriber renewal test — a measurement, not a sunset

- **Segment:** `subscribed = 1`. $62,645 of revenue with **unmeasurable** discount dependency (subscription ⇒ discount is deterministic in the data).

- **Design:** 105 subscribers (10%) receive a no-discount renewal offer with equivalent non-price value (early access, free expedited shipping); 948 renew as-is.
- **Decision rule:** holdout renewal and order behavior within the break-even threshold → restructure the subscription value proposition away from discounts; below it → discounts are a retention asset, keep them.
- **Trade-off stated:** the test itself risks ~105 renewals (~$6.2k revenue at cohort average). That is the price of converting a $62,645 unknown into a known.

Margin impact — scenario range, not a point estimate

The dataset has no margin or discount-depth fields (binary flag only), so impact is presented as the break-even frontier. Derivation: per retained buyer the brand recovers the discount `d`; per lost buyer it forgoes gross margin `m`. Sunset is value-positive while churn `c < d/m`.

Assumed discount depth	Margin 50%	Margin 60%
10%	tolerates 20% churn	17%
20%	tolerates 40% churn	33%
30%	tolerates 60% churn	50%

Reading: under the most conservative cell, Phase 1 stays value-positive unless more than 1 in 6 of the 155 tapered customers stops buying entirely — the control group measures this directly. (Assumptions, not data: apparel-typical margins and depths; the brand should substitute its true values.)

Redirect the savings: latent activation

The recovered discount budget funds the larger opportunity: **969 latent loyals** (committed, satisfied — avg rating 4.47 — but slow-cadence: 61% buy quarterly or less). Their value gap to true loyals is **$1,028/customer ≈ $996k in proxy-value terms**. These customers do not need price incentives — they need cadence levers: replenishment reminders, bundles, early drops, subscriber-only previews. KPI: latent→true conversion rate (re-run the segment assignment quarterly).

Fix the measurement gap (prerequisite, Month 1)

Two missing fields made retention and margin unmeasurable in this analysis: **order timestamps** and **discount depth per transaction**. Begin logging both immediately — every future iteration of this playbook gets sharper, and the phase metrics above depend on forward-looking order data the brand already observes operationally.

Part 2 — Ideal Customer Profile

The headline: the ICP is behavioral, not demographic

True loyals (n = 410) are demographically indistinguishable from everyone else — age 44.4 vs 44.0 (IQR 30–57), 35.1% female vs 31.6%. Payment method, shipping choice, and season of purchase are flat. **Demographic targeting would burn money. Trigger targeting wins.**

The profile a marketing team can use today

Marker	True loyals	Everyone else	Use it for
Subscription enrolled	33.7%	26.2%	Lead acquisition to subscription sign-up, not first sale
Buys at full price	66.3%	55.9%	Creative leads with product value, never discounts
Purchase cadence	29.0/yr	16.1/yr	Retarget on cadence breaks, not blanket frequency
Review rating	4.46	3.67	Post-purchase satisfaction flow = loyalty pipeline
Entry categories	Footwear +2.2pp, Outerwear +2.2pp	—	Acquisition SKUs: footwear/outerwear forward

Acquisition translation: prospect resembles the ICP when they (a) enter via footwear/outerwear, (b) convert without a promo code, (c) accept the subscription offer, (d) rate ≥ 4 after first purchase. Each behavior is observable at or shortly after first order — score new customers on these four within 30 days and route high-scorers into the latent-activation track, not the discount track.

Limitations (one block, complete)

- One observed transaction per customer, no timestamps: all "loyalty" and "retention" constructs are cross-sectional proxies (`loyalty-definitions-log.md` documents the definitions and their weak statistical separation).
- Discount flag is binary; depth, cost, and margin are assumed in scenario form, never estimated.
- Promo exposure is 100% male in this data (0/1,248 women discounted or subscribed) — gender-side promo conclusions are structurally confounded; female ICP evidence rests on satisfaction and behavior only.
- Phase revenue figures are snapshot shares, not annual run-rates.
- State-level patterns (n = 63–87/state) are directional only.